

Teaming Agreements 101

The Value of Partnering in the Federal Government Contracting Industry

The federal government contracting market is full of opportunity, especially for companies of all sizes who know how to form teaming agreements that increase their ability to compete. This guide outlines what teaming agreements are, how the virtual/hybrid business environment has changed the way government contractors make connections, best practices for subcontracting, why small businesses should team with larger primes and next steps to get started.



TABLE OF CONTENTS

- 2** Introduction
- 4** What's Changed: Virtual Networking is Here to Stay
- 5** Best Practices for Teaming
- 5** Leveraging Socio-Economic Set-Asides for Teaming
- 7** Successful Teaming Strategies
- 9** Build Winning Relationships with Deltek's GovWin IQ

Introduction

According to [Deltek's Clarity Government Contracting Industry Study](#), most government contractors are leveraging teaming partners and networks, BD staff and active client relationships as a primary source for new leads. This is because in the government contracting space, relationships are a necessary part of growth. Whether those relationships are with teaming partners in the form of prime or subcontractors, or directly with government agencies themselves, bigger networks mean more growth opportunities.

WHY RELATIONSHIPS MATTER

Contractors in the federal contracting space need to be thinking about how to build and expand their network – now more than ever – as the government contracting space comes into a new normal. Here are three key reasons why relationships matter.



1.

Increased Competition

The pond is getting smaller

Federal agency spending is on the rise, but fewer and fewer companies are securing prime dollars. This means a smaller pool of contractors are consistently winning the majority of federal government awards. In this competitive environment, many companies are finding success by forming teaming agreements with primes. With fewer contractors securing prime dollars, pursuing subcontracting opportunities is a strategy that many contractors, especially smaller businesses, are increasingly relying on.



2.

Diversification

Don't put all your eggs in the same basket

With more competition in the market it's important to diversify your portfolio because you may no longer be able to count on contracts you've won historically. Beyond that, the consolidation of contracts means projects are being lumped together for bigger, longer terms; which ultimately disproportionately affects small businesses. Our Clarity survey found that for businesses of all sizes, almost half (46-48%) of all revenue came from businesses' largest customers. With a diversified portfolio, building connections with new agencies will be important for sustainable growth.



3.

Influence

Talking to the people that matter can make all the difference

Relationships are an essential piece of government contracting. Throughout the [Government Contracting Lifecycle](#), teaming plays a large role in the second stage, Stage 2: Capture Planning & Award. Preparing to win a contract can take years to develop. Identifying potential contacts early in this stage will allow you to be proactive in talking to the decision makers at an agency or at a company you're interested in teaming with, giving your organization an upper hand over an organization that hasn't yet spoken to the people that matter in these roles.



PRIME VS. SUBCONTRACTING

Building strong relationships begins with understanding the roles each plays in the government contracting space. Prime contractors work directly with the government. They manage any subcontractors and are responsible for ensuring that the work is completed as defined in the contract. A subcontractor is hired by the prime contractor or project owner to complete a certain task.

To become a federal prime contractor, you must first register your business with the System for Award Management (SAM). You can search for federal contracting opportunities through [Deltek's GovWin IQ](#), [SAM.gov](#) and [GSA Schedules](#). You can post your subcontracting opportunities to the Small Business Administration's [Subcontracting Network \(SubNet\)](#).

Unlike prime contractors, subcontractors do not work directly with the government, but instead work for other contractors.

Build a Pipeline of Government Subcontracting Opportunities with GovWin IQ

Deltek's GovWin IQ has introduced a new feature that makes it easier to identify and track subcontracting opportunities by simply running a search. SAM Notices have always been individually reviewed by a GovWin analyst and now that review process will include marking subcontracting opportunities when applicable with a tag. This manual process provides users with a level of accuracy they can't get from other tools that rely on automated algorithms. With GovWin IQ, you can be confident that you are seeing the most relevant and reliable subcontracting opportunities for your business. [Learn More >](#)

TEAMING AGREEMENTS

There are special [teaming agreements](#) used to bring prime and subcontractors together. A teaming agreement is an agreement between companies to pool resources to obtain and perform a government contract. They are generally between a company competing for a prime contract and a prospective subcontractor or joint venture. Teaming agreements generally focus on proposal preparation responsibilities, division of work upon award, exclusivity of the teaming arrangement and subcontract terms should a subcontract be awarded.

A [subcontract](#) is a legally binding agreement setting forth the work to be performed, pricing, delivery requirements, flow down clauses and procedures for resolving subcontractor disputes.

There are two types of teaming agreements:

1. Agreements that require the award of a subcontract if a prime contract is awarded (more favorable)
2. Agreements to attempt to negotiate a subcontract if a prime contract is awarded

If a potential subcontractor has the negotiating leverage it should insist on a teaming agreement that requires it to be awarded a subcontract if the team leader is awarded the prime contract.

Differences between subcontracting vs. teaming vs. joint-venturing

Whereas a teaming agreement is a prime and subcontract relationship between the parties, a joint venture is a separate legal entity that is comprised of two or more companies that form one entity for the purpose of performing an identified government contract.

Compliance reviews

Any prime contractor with a subcontracting plan can be selected for a subcontracting compliance review. The review confirms the prime is following relevant regulations, processes, procedures and the subcontracting plan.

Navigating compliance regulations can be difficult and complex for even the most seasoned of government contractors.

Learn how Deltek's Costpoint supports government compliance requirements with this free [Guide to Government Compliance](#).



What's Changed: Virtual Networking is Here to Stay

Prior to the COVID-19 pandemic, the government contracting business environment was centered around building relationships with potential teaming partners at in-person industry conferences and matchmaking events. That has changed for good as the virtual, or hybrid, networking business environment is [here to stay](#). Given this dramatic shift in how contractors make connections and foster relationships with potential teaming partners, it is critical for those firms seeking to cultivate new relationships to establish new ways of making connections virtually.

COVID-19 Impacts



Virtual Pre-Bid Meetings

Un-centralized communication of meeting details.



Limited Attendee Site Visits

Site visits were cut down to 8-10 people at a time making scheduling a nightmare.



Postponed Projects

Opportunities that were postponed cost companies that were counting on the award.



Uncertain Market Conditions

Where money was being allocated in response often quickly changed.

THE ADVANTAGES OF VIRTUAL NETWORKING

While the COVID-19 pandemic challenged the government contracting community to quickly pivot to virtual networking, this pivot came with distinct advantages. The pros of virtual networking often outweigh the cons, especially for cash-strapped small-to-medium sized firms who previously struggled to fund travel to traditional in-person industry conferences, matchmaking events, pre-bid meetings and site visits. Below are a few distinct benefits that virtual networking offers to level the competitive playing field:

- » **No geography restrictions:** Virtual networking allows for firms of all sizes to foster potential teaming relationships regardless of budget as the ability to fund travel to industry conferences and matchmaking events is less of a requirement than in the past.
- » **Pre-bid meetings:** The virtual government contracting business environment now allows for more opportunities for pre-bid meetings to take place virtually. In-person pre-bid meetings limited the number of potential bidders due to geography and costs to travel. Now, more interested bidders have the opportunity to position their products, services and unique capabilities with increased options to attend pre-bid meetings virtually. This levels the competitive playing field and allows for more eligible bidders to come out of the woodwork and position themselves to be considered as a potential awardee.
- » **Limited attendees at site visits:** Visiting work sites, often referred to as 'place of performance', is critical and often required in order to be awarded a government contract. This is especially true for government contract work that requires 'boots on the ground' fulfillment such as facilities management, janitorial services and construction-related work. During the peak of the COVID-19 pandemic, in-person site visits were often limited to a handful of attendees due to social distancing requirements. The 'new normal' virtual government contracting networking environment has challenged government procurement staff to make site visits more accessible remotely, which further opens up the competitive playing field for companies who may be qualified to perform the work but struggled to fund in-person site-visits as part of their business development process prior to the pandemic's emergence.

Best Practices for Teaming

BECOME A SUBCONTRACTOR

78% of all contract work awarded has a subcontractor on it. This means, there is an abundance of contract work available. It also means there is an abundance of competition for that work. So how do you stand out in a crowd? Bringing something unique to the table - that differentiates you from other partners - is important. Being awarded a government contract is capability driven; interested bidders have to prove to government procurement staff that they are capable of fulfilling the duties in the contract's scope of work. For companies who don't have a long track record of winning and fulfilling government contracts, becoming a subcontractor by teaming up with a prime is a great tactic to beef up your capabilities statement. Gaining experience as a subcontractor can set your firm up for success as it grows and seeks to win more government contract awards.

Subcontracting on federal jobs can be challenging as federal contracts are subject to a host of complex rules and regulations.

Being successful requires that the parties to consider not only their own interests, but also compliance concerns and other risk-shifting measures. To do this properly requires attention to detail, strategic problem solving, and an informed understanding of the bigger picture and all of its moving pieces.

Get tips on navigating the subcontracting process from a prime and subcontractor point of view.

WATCH THE ON-DEMAND WEBINAR:
[Best Practices for Subcontracting](#)

Starting out in government contracting as a subcontractor is a good way to enter the market. Using historical performance from awarded contracts is a great way to secure future projects within an existing agency - or even with new ones - and grow your footprint.

The federal government helps small businesses get an opportunity to subcontract on federal prime contracts. Using goals and guidelines set by the [Small Business Administration \(SBA\)](#), federal agencies are required to 'set aside' a certain percentage of contracts for firms who qualify as a small or minority owned business.

Conversely, some government contracts require large companies to subcontract with a small business in order to be eligible to submit a proposal. This creates more opportunities for small businesses to get involved in federal contracting and fosters a strong economic environment in support of small and minority owned businesses.

GO BEYOND GOVERNMENT WEBSITES

Companies often find that when they rely on [SAM.gov](#) or [crawling other government websites to identify potential opportunities](#), other more sophisticated companies have already been engaging the agency buyers in discussions and have done some "pre-selling". Once a solicitation is released on a government website, agency contracting officers and buyers have very restricted rules around communication that essentially preclude discussions with individual companies until the acquisition is awarded.

WORK WITH OTHER CONTRACTORS

Small businesses often break into new fields or gain contracting experience through subcontracting and serving on a prime's team. It is a way of getting experience that often allows you to avoid some of the complicated compliance requirements and challenges competing against more established vendors, yet gaining some experience and past performance.

Leveraging Socio-Economic Set-Asides for Teaming

THE ROLE OF SMALL BUSINESS

Many federal contracts specify that small businesses must do a certain amount of the work, or are set-aside entirely for small businesses. For larger prime contractors, forming teaming arrangements with qualified small businesses improves your eligibility to fulfill these set-aside requirements. For small businesses, subcontracting with prime contractors provides an opportunity to establish more relevant government contracting experience as your firm grows.

Contracts and pre-notification opportunities can be found on [GovWin IQ's market intelligence platform](#). The SBA offers a number of programs to help small businesses win some of these federal government contracts. Below are several of the most commonly-used programs:

- » **Women-Owned Small Business Federal Contracting.** The government aims to award at least 5% of federal contracting dollars to women-owned small businesses every year. [Get certified as a women-owned small business.](#)
- » **Service-Disabled Veteran-Owned Small Business.** The government aims to award at least 3% of federal contracting dollars to SDVOSB firms every year. [Join the disabled veterans' business program.](#)
- » **8(a) Business Development.** The government has a goal to award at least 13% of federal contracting dollars to qualified small disadvantaged businesses through the 8a program, as of FY 2024. This percentage is set to gradually increase until it reaches 15%. [Participate in the 8\(a\) Business Development program.](#)
- » **HUBZone.** The government aims to award at least 3% of federal contracting dollars to HUBZone-certified small businesses every year. A HUBZone is a historically underutilized business zone where the government is looking to foster economic activity such as job creation. Of the small business programs, it is the only program not focused on the ownership of the business, but rather on the location of the business and its employees. [Become a HUBZone-certified business.](#)
- » **All Small Mentor-Protégé Program.** Small businesses can get valuable business development help from an experienced government contractor through the mentor-protégé program. The Small Business Jobs Act of 2010 and the National Defense Authorization Act for Fiscal Year 2013 provided authority for the Small Business Administration to establish mentor-protégé programs for all small businesses. Rather than creating separate programs for each constituency – Service Disabled Veteran Owned Businesses, Women Owned Small Businesses, Historically Underutilized Business Zones – the SBA chose to create a single, all-inclusive mentor-protégé program modeled on the successful mentor-protégé program available to participants in its 8(a) program. [Learn from an experienced government contractor through SBA's Mentor-Protégé program.](#)

The purpose of the new program is to develop strong protégé firms through mentor-provided business development assistance, and to help protégés successfully compete for government contracts. Mentor-provided assistance can be sought for any, or all of the following activities:

- » **Management and Technical Assistance.** Internal business management systems; accounting processes; marketing and business/strategic planning assistance; technology transfers; and manufacturing assistance.

- » **Financial Assistance.** In the form of equity investments and/or loans; and bonding.
- » **Contracting Assistance.** Contracting processes; capabilities; acquisitions; and performance.
- » **Trade Education.** International trade business and strategic planning; finding markets; and learning how to export.
- » **Business Development Assistance.** Strategy; and identifying contracting and partnership opportunities.
- » **General and/or Administrative Assistance.** Business processes and support; human resource sharing; security clearance support; and capacity building.

Participating in one of these SBA programs means you'll have fewer businesses to compete with to win a government contract. However, you must meet eligibility requirements and certify your business' socio-economic status before you can bid on a set-aside contract.

HOW TO CERTIFY AS A SMALL BUSINESS

The certification process for becoming a designated small business may vary depending on the SBA contracting program. For some, you can self-certify just by updating your business profile in the System for Award Management (SAM). For other programs, you have to apply for certification. As part of the application, you'll answer questions about your business and its ownership, and upload supporting documents.

Check each [contracting program's page](#) for specific details about eligibility requirements and the certification process.

FREE GUIDE:

The U.S. government can offer a high-performing revenue stream for your business. Get a better understanding of government acquisition priorities and policies so you can compete and win more government contracts by requesting your complimentary copy of [GovWin's Selling to the Government as a Small Business guide](#).



Successful Teaming Strategies

It's clear that building relationships in government contracting is a crucial element to help win more teaming and subcontract opportunities, and that the competition to serve as a prime or sub for these opportunities is as fierce as ever. This makes it important to be able to leverage the right resources to overcome these challenges and successfully partner on [creating a winning government contract proposal](#).

As a potential teaming partner, to maximize your possibility for success, you'll want easy access to:

1. Tools that provide ways to find opportunities for new subcontract and teaming agreements, with the ability to find the leads that best align with your business's attributes and core competencies
2. Solutions that offer educational content, up-to-date analysis of the main contract vehicles and agreements that you're targeting, and chances to expand your reach by networking and teaming virtually

The good news is that you don't have to do it alone. Solutions like [Deltek's GovWin IQ](#) are designed to help you make better decisions about which opportunities to pursue with a high probability to close and which don't, and contain tools to enable finding quality teaming partners based on strategic fit.

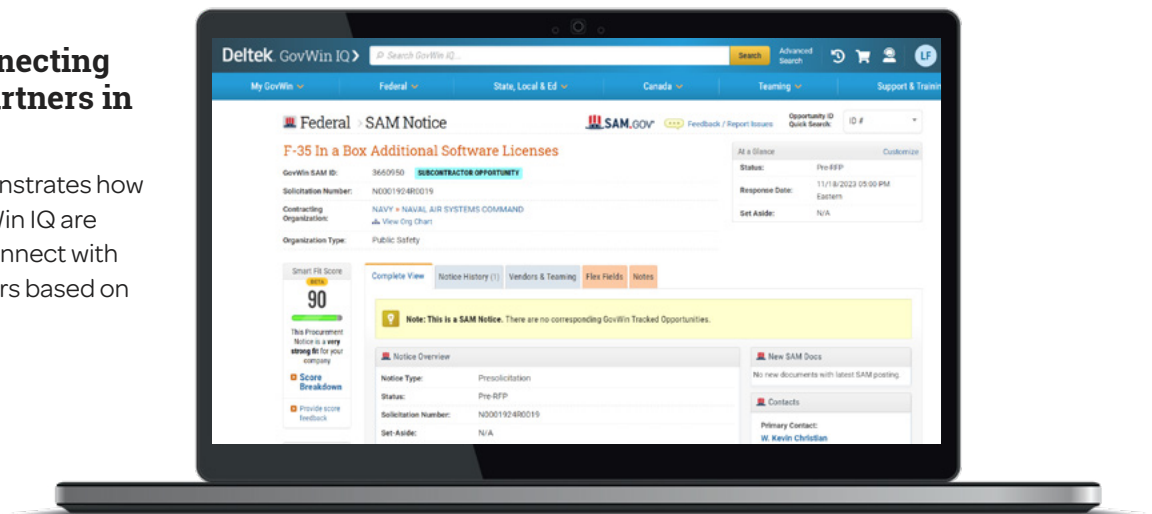
When you subscribe to GovWin IQ you will be able to take full advantage of its robust teaming capabilities. You can update your Company Teaming profile in GovWin IQ, and each user should also create their Personal profile, which will enable users to be visible for teaming purposes, list themselves as potential vendors, and contact other members of the GovWin IQ Teaming Network. Plus, you can advertise your interest on relevant opportunities to help your own team find teaming partners.

Watch the video



Finding and Connecting with Teaming Partners in GovWin IQ:

This screenshot demonstrates how users of Deltek's GovWin IQ are able to network and connect with quality teaming partners based on strategic fit.





Success Story: Benesch

Proactive planning has helped companies like Benesch, a provider of transportation planning and engineering services to a wide range of clients throughout the U.S., capture and execute on more opportunities.

For the past several years, [Benesch has been leveraging GovWin IQ's pre-RFP intelligence](#) to meet this challenge and expand its public sector sales pipeline with more leads. By being proactive in its pursuit of new projects and starting its capture process sooner, the firm often discovers opportunities for pursuit months, or even years, in advance of the solicitation being released.

We recently identified a really good, active, strong lead, and we're in the process of teaming in pursuit of that. It would have been something we would not have known about or known who to contact. And that's directly because of our GovWin IQ pre-RFP search—it's been a major value for us.

ANDREA SAUVEGEOT
MARKET RESEARCH SPECIALIST
BENESCH

Thanks to the pre-RFP searches available in the GovWin IQ platform, Benesch has been able to get a proactive view of opportunities that are a good fit for its business and companies that they might be able to partner with on potential teaming agreements.

Businesses that follow their lead and use pre-RFP intelligence, along with leveraging teaming capabilities and tools to find decision makers, will give themselves the best chance possible to successfully partner on new teaming opportunities.

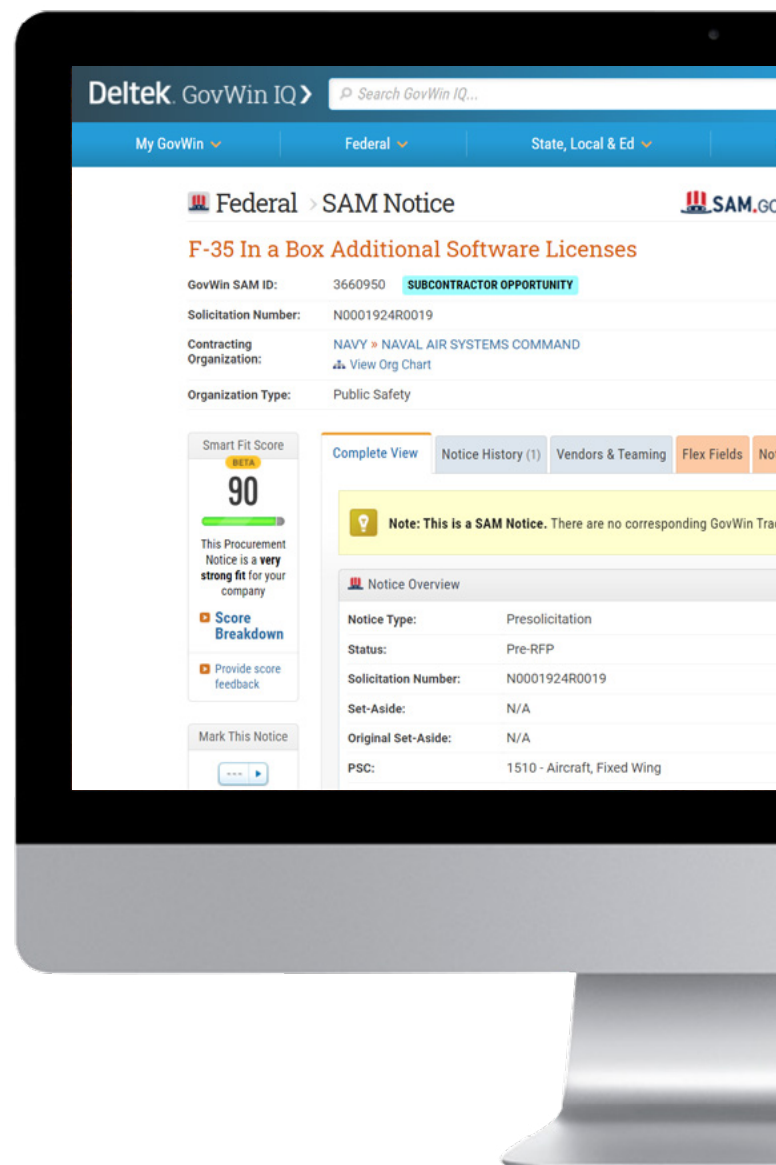
Build Winning Relationships with Deltek's GovWin IQ

GovWin from Deltek is the market-leading partner for U.S. and Canadian contractors seeking to confidently manage and grow their government business. The GovWin IQ market intelligence platform is uniquely built, backed and continuously updated by market analysts who gather and analyze first-hand information from government decision-makers. Pairing industry expertise with purpose-built innovations empowers customers to gain early access to opportunities, network with teaming partners and buyers, and leverage powerful market intelligence with support from our team of experts, to beat the competition and win more government contracts.

Whether you are looking to network with government contracting industry peers, find quality teaming partners or get in touch with agency contacts at the decision maker level, establishing professional relationships is critical to opening new business opportunities. Primes and subcontractors should look for teaming partners who can provide services or technology they do not offer or to demonstrate past performance with an agency. Deltek's GovWin IQ offers tools to help develop those relationships with over 35,000 members of the GovWin Network actively advertising their interest to form teaming relationships on specific opportunities.

[Click here](#) to try out the GovWin IQ platform for free.

Learn more about [GovWin IQ](#)



Deltek

Better software means better projects. Deltek is the leading global provider of enterprise software and information solutions for project-based businesses. More than 30,000 organizations and millions of users in over 80 countries around the world rely on Deltek for superior levels of project intelligence, management and collaboration. Our industry-focused expertise powers project success by helping firms achieve performance that maximizes productivity and revenue. www.deltek.com